

1.

CASE #	CASE NAME	HEARING NAME
CVPS2509973	BIG HORN 1, LLC. VS URSO	MOTION FOR APPOINTMENT OF A RECEIVER

Tentative Ruling: Defendant argues that the Complaint is not yet at issue for reason all parties have not yet been served. However, Defendant cites no authority providing that the Complaint must be at issue or any restriction as to when a plaintiff may move for receivership.

Under Code of Civil Procedure section 564, the court in which an action or proceeding is pending may appoint a receiver in the enumerated categories of cases. (Code Civ. Proc., § 564(b)(1)-(12).) Plaintiff contends it meets several of the categories, including subdivision (b)(2), (b)(9) and (b)(11). “The appointment of receivers for a going concern is a drastic remedy [citation], and ‘are often legal luxuries, frequently representing an extravagant cost to a losing litigant.’ ” [Citation.] (*McRae v. Superior Court for Los Angeles County* (1963) 221 Cal.App.2d 166, 173.) The relief by way of an appointment of receiver will be granted “only where the exigencies of the case clearly appear to absolutely require it for the conservation of the rights of all parties concerned in the litigation giving rise to the application for such relief.” (*Whitley v. Bradley* (1910) 13 Cal.App.720, 725.) The question of the appointment of a receiver is to be resolved by the sound discretion of the trial court, which will not be disturbed unless it is made clear that the order of appointment was an arbitrary exercise of power. (*Moore v. Oberg* (1943) 61 Cal.App.2d 216, 221.)

Plaintiff contends it is entitled to relief under subdivision (b)(2) which grants relief in “an action by a secured lender for the foreclosure of a deed of trust and sale of property upon which there is a lien under a deed of trust ..., where it appears that [1] the property is in danger of being lost, removed, or materially injured, or [2] that the conditions of the deed of trust ... has not been performed, and that the property is probably insufficient to discharge the deed of trust.... (Code Civ. Proc., § 564(b)(2).) However, Plaintiff has not demonstrated that it is entitled to relief under this subdivision. Plaintiff argues that Follmer’s 50% undivided interest in the property is “probably insufficient to discharge the secure debt when judicial foreclose, costs, accrued interest, and loss of rental income are considered.” (Motion, 5:17-21.) It also argues that a fractional tenancy-in-common interest is “inherently discounted in the marketplace”, so there is no demand for such acquisition. On that basis, Plaintiff argues that any prospective purchaser would require a substantial discount for the partial interest that is being foreclosed. Plaintiff also argues that the risk of lost rents during the foreclosure period would further impair the value of the encumbered interest in the property. Plaintiff argues that all of the foregoing, taken together, establish a reasonable likelihood that Defendant’s 50% interest alone will not satisfy the secured obligation. These arguments are not well supported by evidence. As Defendant notes, Plaintiff has put forth no evidence demonstrating that the market value of an undivided 50% interest in the property under a tenancy-in-common will be insufficient to satisfy the outstanding indebtedness secured by the deed of trust and any associated fees and cost and expenses. Nor has Plaintiff put forth any evidence demonstrating that the property is in danger of being lost, removed, or materially injured. Plaintiff concedes that the property is being maintained and is generating rental income of \$60,000 biannually. Plaintiff’s concern is directed at the potential loss of rental proceeds, not the property itself. There is no evidence showing that Defendant Follmer has taken any actions to damage the property in any way to justify relief under section

564. “[T]he facts allegedly supporting conclusions of affiant [in an application for appointment of a receiver] must be based upon knowledge of affiant.” (*McCaslin v. Kenney* (1950) 100 Cal.App.2d 87, 98.) An order appointing a receiver is void where there is no showing of a property interest or of danger to the property interest. (*Rondos v. Superior Court* (1957) 151 Cal.App.2d 190, 195; *McCaslin v. Kenney* (1950) 100 Cal.App.2d 87, 95 [order granting receiver reversed where there was no showing of danger of loss or injury to property].)

Plaintiff also has not made a sufficient showing under subdivision (b)(11), which provides that receivership may be granted “[i]n an action by a secured lender for specific performance of an assignment of rents provision in a deed of trust, mortgage, or separate assignment document.” (Code Civ. Proc., § 564(b)(11).) Plaintiff asserts that the deed of trust “incorporates the full Fictitious Deed of Trust, including Section 11’s Assignment of Rents.” Plaintiff asserts that Civil Code section 2938, subdivision (c), makes clear that such provision must be affirmatively enforced by a court order following default to ensure “neutral collection, payment of necessary expenses, and prevention of net proceeds under court supervision.” Plaintiff contends that the instant motion for receivership is a mechanism by which Plaintiff is affirmatively seeking to enforce the assignment of rents provision. It should be noted, Plaintiff has not produced a copy of the Fictitious Deed of Trust incorporated by reference in its deed of trust; nor has it identified the Fictitious Deed of Trust by its recording date and document number. Furthermore, subdivision (b)(11) is not applicable in this case as this action does not seek specific performance of the assignment of rents provision against Urso, who no longer holds interest in the property. Defendant Follmer took title subject to the deed of trust, but he is not a signatory against whom the contractual terms of the deed of trust can be specifically enforced. Instead, Plaintiff is seeking to recover rental payment wrongfully withheld from it, not under the contractual terms of the deed of trust, but as its status as a tenant-in-common under a tort claim of conversion.

Furthermore, Plaintiffs would not be entitled to relief under the catch-all provision of subdivision (b)(9), which provides that receivership may be granted “[i]n all other cases where necessary to preserve the property or rights of any party.” (Code Civ. Proc., § 564(b)(9).) The necessity to preserve the funds will be dissipated is not supported by evidence. “Receivership is an extraordinary remedy, to be applied with caution and only in cases of apparent necessity, and where other remedies would be inadequate.” (*Rogers v. Smith* (1946) 76 Cal.App.2d 16, 21.) Again, even assuming Plaintiff is entitled to receive rental profits proportionate to its interest in the property, Plaintiff has not demonstrated that there will be net profit available for distribution among the tenants-in-come after payment of maintenance cost, taxes, and insurance. Defendant provides an accounting indicating that the cost of maintaining the property exceeds \$60k per year and that he has expended \$400,000 in home renovation. Plaintiff contends in its reply that Defendant’s own version of accounting is not reliable evidence. Although there is some merit to this contention, Plaintiff still does not deny the fact that Defendant Follmer is paying maintenance costs, insurance, and taxes out of the rental proceeds. Nor does Plaintiff dispute Defendant’s assertion that he has expended funds to substantially renovate the property. Plaintiff’s principal Mutaguichi does not reside in the United States and has not demonstrated any involvement in the operation and upkeep of the property.

Plaintiff otherwise provides no valid reasons for the Court to appoint a receiver. Plaintiff suggests that any offset claimed by Defendant can be determined at a later time, but a cost of a receiver would further eat into the profit margin which would prove counter-

productive to the goal of preventing dissipation of funds. Plaintiff contends that a receivership would preserve the status quo, but that is not the function of an appointment of receiver under section 564, which is to prevent further injury to property or losses. “Where an injunction will protect all the rights to which the applicant for the appointment of a receiver appears to be entitled, a receiver will not be appointed.” [Citation.]” (*Alhambra-Shumway Mines, Inc. v. Alhambra Gold Mine Corp.* (1953) 116 Cal.App.2d 869, 873.) Here, Plaintiff has not explained why an injunction ordering Defendant to deposit rental proceeds into escrow and to keep proper accounting would not be sufficient to protect Plaintiff’s interests to the extent any rents are being wrongfully withheld.

Motion for Appointment of a Receiver DENIED.

Case Management Conference confirmed for 7.30.26.

Order to Show Cause re default of Defendants Joseph Urso, Todd Follmer and Jennifer Burton set for 7.30.26.

Order to Show Cause re Proof of Service of Cross-Defendant Big Horn 1, LLC set for 7.30.26.

2.

CASE #	CASE NAME	HEARING NAME
CVPS2601632	KOGAN VS PELTZ	DEMURRER ON COMPLAINT OF VADIM “DAVID” KOGAN BY BEAU JAMES PELTZ DBA CLEARLY THE BEST POOLS SERVICE, A SOLE PROPRIETORSHIP

Tentative Ruling: No tentative ruling. This hearing was continued to 8.05.26 for proper meet and confer.

3.

CASE #	CASE NAME	HEARING NAME
CVPS2601632	KOGAN VS PELTZ	MOTION TO STRIKE COMPLAINT ON COMPLAINT OF VADIM “DAVID” KOGAN BY BEAU JAMES PELTZ DBA CLEARLY THE BEST POOLS SERVICE, A SOLE PROPRIETORSHIP

Tentative Ruling: No tentative ruling. This hearing was continued to 8.05.26 for proper meet and confer.